

July 29, 2026 05:07 AM GMT

Standard Chartered | Asia Pacific

2Q26: 13% PBT beat from better top line. Guidance revised up modestly, limited impact on consensus

AlphaSignals Earnings Reaction

Strengthens our thesis

Impact to our thesis

↑ Modest upside

Financial results versus consensus

— Largely unchanged

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

- Revenue beat was driven by non-NII and was despite a US\$57m DVA loss. Beats across product lines, led by wealth solutions and transaction services. Net new money of US\$15bn (MSe US\$16bn).
- Opex 2% below MSe/cons, mainly driven by a notable item of US\$74m release of provisions on Korea equity-linked securities portfolio.
- US\$150mn credit charge included additional overlay of US\$44mn. Some increase in early alerts related to Middle East, plus stage 2 increase from exposures already covered by overlays.
- CET1 of 14.2%, ahead of expectation on lower RWAs (although this should reverse in 2H). Share buyback of US\$1bn (MSe US\$1.1bn), with DPS of 20.4c (MSe 13c, cons. 17.8c).
- Revised guidance: NII to be up low single digit YoY (previously flat); Income growth to be around mid of 5-7% (previously bottom); Costs ex notable items to be US\$13.3bn (MSe US\$13.24bn).

Exhibit 1: Standard Chartered 2Q26 earnings review

STAN - US\$ mn	2Q25	3Q25	4Q25	1Q26	2Q26A	YoY	QoQ	2Q26 Cons.	Actual vs. Cons	2Q26E	Actual vs. Mse
Net interest income	2,702	2,737	2,948	2,869	2,871	6%	0%	2,839	1%	2,854	1%
Non-interest income	2,825	2,373	1,978	3,033	2,831	0%	-7%	2,708	5%	2,597	9%
Operating income	5,527	5,110	4,926	5,902	5,702	3%	-3%	5,547	3%	5,451	5%
Operating expenses (ex-levy)	(3,201)	(3,144)	(3,861)	(3,140)	(3,196)	0%	2%	(3,252)	-2%	(3,261)	-2%
Bank levy	0	0	(52)	0	0	n/a	n/a	0	n/a	0	n/a
Total expenses	(3,201)	(3,144)	(3,913)	(3,140)	(3,196)	0%	2%	(3,252)	-2%	(3,261)	-2%
Pre-provision profit	2,326	1,966	1,013	2,762	2,506	8%	-9%	2,295	9%	2,190	14%
Loan impairment	(119)	(188)	(148)	(296)	(150)	26%	-49%	(239)	-37%	(189)	-21%
Other impairment	(4)	(22)	(24)	(2)	(19)	375%	850%	(9)	111%	(8)	138%
Profit from Associates & JV	77	10	(27)	(14)	(3)	-104%	-79%	17	-118%	(10)	-70%
Statutory Profit before tax	2,280	1,766	814	2,450	2,334	2%	-6%	2,064	13%	1,983	18%
Other Key Information											
CRD IV Capital (\$)	37,260	36,594	36,440	35,616	37,003	-1%	4%	36,800	1%	36,367	2%
CRD IV Risk Weighted Assets (\$bn)	259,684	258,378	256,031	266,186	261,451	1%	-2%	267,800	-2%	266,942	-2%
CRD IV CET1 Ratio (%)	14.3%	14.2%	14.1%	13.4%	14.2%	(150ps)	77bps	13.7%	450ps	13.6%	53bps

Source: Company data, Company consensus, E=Morgan Stanley Research

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Standard Chartered (2888.HK, 2888 HK)				
Hong Kong Financials Hong Kong				
Stock Rating	Overweight			
Industry View	In-Line			
Price target	HK\$250.00			
Up/downside to price target (%)	12			
Shr price, close (Jul 28, 2026)	HK\$222.80			
52-Week Range	HK\$231.00-137.00			
Sh out, dil, curr (mn)	2,247			
Mkt cap, curr (mn)	US\$63,842			
Avg daily trading value (mn)	HK\$201			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	1.95	2.18	2.57	3.09
Prior EPS (US\$)**	-	-	-	-
EPS (US\$)§	2.22	2.35	2.77	3.19
ModelWare net inc (US \$ mn)	4,693	4,956	5,628	6,503
P/E	12.4	13.0	11.0	9.2
P/BV	1.2	1.3	1.2	1.1
ROE (%)	10.9	11.0	12.3	13.6
Div yld (%)	2.5	2.3	2.7	3.3
Core tier 1 capital ratio, Basel 3 (%)	14.1	13.5	13.6	13.5

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** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Standard Chartered (2888.HK)

Gordon Growth model, probability-weighted 25% bull, 70% base, 5% bear (based on the likelihood of different macro outcomes, as well as return and franchise improvements).

Key assumptions:

- Cost of equity: 10% base, 9% bull, 15% bear.
- Return on allocated equity: 10% bull, 10% base, 9% bear
- Terminal growth: 2.5%

The result: target P/Bs 2.2x bull, 1.5x base, 0.5x bear.

Risks to Upside

- Faster-than-expected macroeconomic growth and resilience, causing better-than-expected asset quality
- Better-than-expected non-interest income growth
- Rates trough above 3%
- Bank able to return capital sooner than currently expected

Risks to Downside

- Incremental deterioration in asset quality
- Greater pressure on interest rates
- Asian macro climate deteriorates
- Failure to deliver cost targets

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Standard Chartered (2888.HK) - As of 07/29/26 GMT in HKD
Industry : Hong Kong Financials



Stock Rating History: 7/1/21 : E/C; 10/17/22 : O/I

Price Target History: 1/12/21 : 51; 8/11/21 : 52; 2/16/22 : 58.5; 6/8/22 : 61.8; 10/17/22 : 69.3; 2/17/23 : 79.7; 7/31/23 : 89.1; 10/27/23 : 83.5; 12/12/23 : 86.4; 1/11/24 : 89.4; 2/26/24 : 93.3; 5/3/24 : 99.9; 7/8/24 : 100.4; 8/1/24 : 100; 10/7/24 : 103.2; 10/30/24 : 100.4; 1/4/25 : 108.5; 2/27/25 : 128.3; 4/9/25 : 112; 5/5/25 : 113.1; 5/21/25 : 121.5; 8/1/25 : 158.6; 10/8/25 : 173; 10/31/25 : 176.7; 11/24/25 : 188; 1/13/26 : 222; 3/14/26 : 195; 5/13/26 : 221; 7/7/26 : 250

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Hong Kong Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/28/2026)
Nick Lord		
BOC Hong Kong (2388.HK)	U (01/04/2025)	HK\$51.85
HSBC Holdings (0005.HK)	O (01/13/2026)	HK\$162.00
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$222.80
Richard Xu, CFA		
HK Exchanges & Clearing (0388.HK)	O (02/24/2025)	HK\$404.00

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* Historical prices are not split adjusted.